

German-French detente on Chinese PHEVs

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【メール原文】

Navigating the complex world of EU mobility policy and infrastructure. By JORDYN DAHL with TOMMASO LECCA and MARTINA SAPIO SNEAK PEEK — Berlin and Par

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SNEAK PEEK

— Berlin and Paris support the Commission taking stronger trade action to curb the influx of Chinese hybrid vehicles and protect European industry.

— Political negotiations on one of the fault lines in the EU's next multiyear budget kick off this week in Strasbourg, with transport in the firing line.

— TRAN Committee kicked off discussions on its opinion on the Commission's proposed revision of the ETS, including proposed amendments concerning aviation.

Good morning, and welcome to Morning Mobility.

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DRIVING THE DAY

FRANCO-GERMAN DETENTE ON CHINA: Paris and Berlin are in alignment on taking action to curb the surge of plug-in hybrids coming from China. In a joint paper and letter (scooped here by POLITICO) , the two capitals say the Commission should more "fully leverage" the bloc's trade defense instrument, calling the influx of hybrids an urgent case where "appropriate measures should be launched with targeted design options."

China in the crosshairs: EU diplomats will start today with an update on the EU's trading relations with China, while the European Parliament will finish its own hearing with trade chief Maroš Šefčovič on what to expect of his trip to Beijing later this week. Your anchor will be following the debate from Strasbourg.

Council action: The Franco-German joint position comes ahead of a European Council later this month dedicated to tackling overcapacity from China and the competitive threat posed to European industries.

What about retaliation? Berlin has historically been wary of taking measures against China, fearing retaliation against its automakers, which have extensive production and sales in the country. But massive car sector layoffs are shifting opinions. Still, there is an awareness that Beijing could punch back. "European unity could be put to the test," the capitals wrote in the paper.

The solution: The paper attempts to head off Beijing's usual divide-and-conquer strategy of dealing with member states on an individual basis, calling for a clear breakdown of where China could retaliate and "regular coordination sessions" as needed in Council.

Trouble in paradise: The paper was originally supposed to be part of a grand bargain that would include emissions standards for cars and local content requirements under the Industrial Accelerator Act as well as dealing with China. But a broader deal fell short. (Catch up on that here .)

Some IAA movement: The IAA still managed to get a nod in the joint paper. The capitals agreed the regulation should be finalized by the end of the year and include a "proportionate" European preference requirement for public procurement in critical sectors and technologies. France wants a more stringent definition of which countries will qualify as Made in Europe, while Germany is keen on a broader definition.

Currency woes: One of German Chancellor Friedrich Merz's biggest problems with Beijing is the artificial devaluation of the renminbi that has made Chinese goods cheaper while simultaneously undercutting German exports to China by making them more expensive. The EU has few tools at its disposal to force Beijing to change course. Other member states also have little appetite to make it a core priority when it "takes away political space that should be used in other areas," said Gregor Williams, an associate director at German think Rhodium Group, which is contracted by the Commission to monitor China's economic relationship with the bloc. The French-German paper reflects that, calling out the devaluation but only calling for more dialogue with China.

TRANSPORT BUDGET

GREEN SPENDING RULES HEAD FOR A SHOWDOWN: Political negotiations on the performance regulation proposal in the EU's next multiyear budget kick off this week in Strasbourg, and it has big implications for transport. Because transport infrastructure accounts for a substantial share of EU investment — principally via the Connecting Europe Facility and cohesion funds — the regulation will influence funding for transport infrastructure.

Why it matters: The Commission's performance regulation proposal outlines principles and targets for the next EU budget, including the "Do No Significant Harm" principle and the 35% target for climate and environmental spending. Committees are working on a joint report that will form the basis of Parliament's position, co-led by EPP MEP Niclas Herbst and the S&D's Jean-Marc Germain.

Transport trauma: The do no harm principle was one of the issues that blew up negotiations in the TRAN Committee over its opinion on the European Competitiveness Fund, after the EPP pushed amendments in early September aimed at loosening environmental safeguards. TRAN later managed to adopt the opinion on the separate performance regulation, despite the EPP maintaining its opposition to the principle.

What's going on: MEPs from the budget and budgetary control committees working on the proposal hold a first shadow meeting on Wednesday, according to three Parliament officials. Lawmakers who led the work on opinions from participating committees have also been summoned.

Documents not attached: At the time of writing, MEPs and their teams have not yet received Herbst and Germain's draft report, the three Parliament officials tell us, and are impatiently waiting to see what is in it.

Provisional timeline: According to a timetable for the negotiations seen by Martina, the two lead lawmakers are expected to submit their draft report this week. It will be formally presented in the BUDG and CONT committees on Oct. 19, with a committee vote expected on Nov. 30. Parliament could then vote on its position in December.

State of play: Political groups remain divided over how far the do no harm principle should go. Some right-wing groups see the principle as an obstacle to growth, while the Socialists have made clear they do not want it scrapped.

AVIATION

TRAN ON ETS REVISION: The TRAN Committee kicked off discussions Monday on its draft opinion on the Commission's proposed revision of the Emissions Trading System, presented in July. The S&D's Matteo Ricci, rapporteur for the TRAN opinion, presented the text to fellow MEPs, including several proposed amendments concerning aviation.

Money doesn't fly out: Ricci proposes requiring at least 70% of ETS revenues generated by the aviation and maritime sectors be reinvested in their decarbonization. The two sectors would be treated separately, "in proportion to the revenues generated by each," according to the draft.

More funds for green fuels: Another proposal would increase the number of allowances reserved for airlines using sustainable aviation fuels from 110 million to up to 200 million through 2040. Ricci also wants at least 15% of the Innovation Fund reserved for "first-of-a-kind and demonstration projects" in aviation and shipping, including renewable fuels of non-biological origin, hydrogen and electric propulsion.

Going global: The draft opinion backs the Commission's proposal to extend the ETS from 2029 to international flights bound for destinations within 5,000 kilometers of Frankfurt. That effectively maintains the current exemption for flights to destinations including the U.S. and China.

But the TRAN draft goes further. From 2033, Ricci wants the ETS to cover "all flights which arrive at or depart from" an EU airport unless the U.N.'s Carbon Offsetting and Reduction Scheme for International Aviation meets stronger criteria, including mandatory participation covering at least 70% of international civil aviation emissions.

Pushing ICAO: The proposal is intended to put pressure on the U.N.'s aviation agency, ICAO, to step up efforts to reduce international aviation emissions. "This is how we strengthen Europe's position in international negotiations," Ricci said while presenting the draft opinion. TRAN members have until noon today to propose amendments.

AIRBALTIC TO CUT JOBS: Latvia's flag carrier airBaltic unveiled plans Monday to cut 500 to 700 jobs from its roughly 3,000-strong workforce. The airline has been in financial trouble for months and filed for Chapter 11 bankruptcy protection in the U.S. last month.

The planned cuts, intended "to align workforce with new business plan," will affect the carrier's bases in Riga, Vilnius and Tallinn. More details will be provided later this month, the airline said in an emailed statement, adding that it is still "premature to provide estimates for individual bases, functions or employee groups."

Interesting timing: The announcement came just two days after Latvia's parliamentary election, which was won by the United List of Prime Minister Andris Kulbergs. He recently described the airline as a

“very hot potato” in domestic politics because of its financial weakness and dependence on state funding.

The Latvian state owns 88% of airBaltic, while Lufthansa holds 10%. The carrier previously announced plans to cut its all-Airbus fleet by a third while maintaining connectivity for Latvia and the wider Baltic region.

PIT STOPS

From us — scoop : The EPP is doubling down on its plans to further weaken emissions standards for automakers in its compromise amendments sent to shadow rapporteurs.

In a rare move, the Commission has blocked Poland’s plans to support truck producer MAN’s expansion in the Małopolskie region.

Headlines

Here’s a recap of yesterday’s news, along with Pro articles and alerts from overnight.

Brussels eyes major consolidation of EU research partnerships

By Martina Sapio · Oct 05, 2026, 06:13 pm Europe/Brussels CEST

EPP puts forward auto package plans

By Jordyn Dahl · Oct 05, 2026, 03:52 pm Europe/Brussels CEST

Merz and Macron want the EU to hit back harder — and faster — against trade threats

France and Germany want to give Brussels new powers to rapidly block imports deemed an economic or security threat.

By Hans von der Burchard, Carlo Martuscelli, Giorgio Leali, Jordyn Dahl, Camille Gijs · Oct 05, 2026, 03:21 pm Europe/Brussels CEST

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